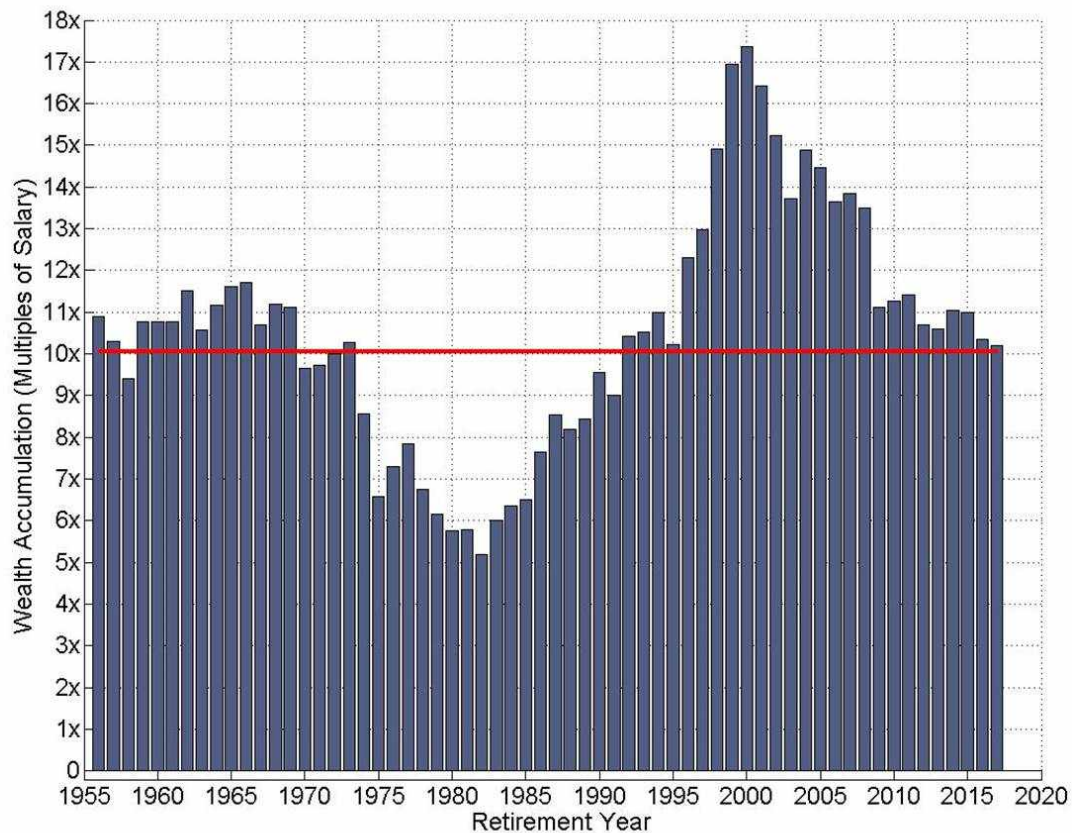




Even individuals whose careers largely overlap may still experience different outcomes. For instance, retirees in 1973 and 1975 had twenty-eight of their thirty working years overlap, but the 1975 retiree reached retirement with 36 percent less real wealth than the 1973 retiree. William Bernstein, in his 2012 e-book, *Ages of the Investor*, used waterfalls to describe the large drops in wealth accumulations that may follow wealth peaks, explaining how some individuals might unwittingly just miss their opportunity to reach their wealth target after thirty years, and subsequently may find that working for much longer does not get them back to where they had hoped to be. This is sequence-of-returns risk in the context of the accumulation phase, as people are more vulnerable to the returns experienced when their portfolios are larger. A given percentage change has a bigger impact on absolute wealth, and a large drop in the portfolio value could counterbalance all of the capital gains earned for most of the early part of your career.